## 8.3. Appendix 3 –

# Annual Report MS Reinsurance (MS Amlin AG) 2024

# Management Report

MS Amlin AG (MS Reinsurance or the Company) is a Switzerland-domiciled, global reinsurer, and a wholly owned subsidiary of Mitsui Sumitomo Insurance Company, Limited (MSIJ), a part of MS&AD Insurance Group (MS&AD or the Group). Both MSIJ and MS&AD are registered in Japan. In 2022, MS Amlin AG was rebranded and now trades as "MS Reinsurance" with no change to its legal name or operational structure.

MS Reinsurance provides non-life treaty reinsurance solutions for clients around the world. The Company maintains a global presence with offices in Bermuda, Miami, New York, Labuan, London and Zurich.

MS Reinsurance has a global underwriting strategy prioritizing long-term client portfolios serving a variety of reinsurance clients facilitated across three business units:

- International, which provides multi-line solutions for clients in Europe, Middle East and Africa, and the rest of the world;
- Americas, which offers multi-line solutions for clients in North and South America; and
- Specialty Lines, which services clients with unique specialized risks such as credit or agriculture.

MS Reinsurance's longer-term strategy to reduce volatility in financial results remains unchanged from 2022. The Company continued to manage the overall portfolio during 2024, controlling its catastrophe exposure relative to other classes of business.

# Business Development and Financial Condition

Gross written premium (GWP) continued to increase during 2024. This growth was seen in segments where market conditions remained favorable and in areas that successfully aligned the strategic approach for diversification and increased profitability, notably in the US Casualty, International Agriculture and Engineering lines of business. Net of reinsurance and on an earned basis, premium levels increased relative to the prior year, reflecting the GWP growth and the earned impact of the continuing shift towards longer-tail business within the portfolio.

The 2024 underwriting result improved relative to 2023 due to increased earnings, lower impact from catastrophe events and favorable experience across shorter-tail Property, Agriculture and Cyber lines. This favorable experience was partially offset by reserve strengthening within the longer tail Financial Risks, Casualty and Engineering lines.

Overall return on investments has reduced from during 2024. The lower return in 2024 is due to the impact of increased yields on the bond duration portfolio. The realized gain is driven as a result of rebalancing the equity position during 2024.

The overall result for the Company for the year 2024 is a profit of USD 322 million under Swiss Code of Obligation.

## Number of full-time positions on an annual average

The Company employed a worldwide staff at an average of 226 full time equivalents (2023: 199).

## Future prospects and vision

Rebranded as MS Reinsurance, the Company repositioned itself in the market, with a new strategy in 2022. The Company's strategic focus is to manage the inherent volatility of the business it assumes by constructing a well-balanced and diversified portfolio of appropriately priced risks.

To execute on this new strategy, the Company undertook a new underwriting strategy built on a three-pronged value proposition:

- **Deep client understanding.** We know our clients, understand their needs, and will work to provide solutions. We use market expertise and timely access to information and data needed to know our clients' markets and portfolios well.
- **Ease of business.** We have an efficient platform and empowered underwriters with demonstrated expertise enabling fast, reliable decision making.
- **Competitive pricing.** We deliver competitive pricing underpinned by a cost-efficient platform.

This strategic direction allows MS Reinsurance to deliver a differentiated experience for its clients, increase access to diversified risk, and attract and invest in top talent. Part of this change is a comprehensive transformation to a state-of-the art efficient platform, taking every aspect of the business into consideration. Several of the first transformation workstreams were completed in 2023, and most of the internal transformation was completed by the end of 2024.

Clients continue to react positively to the MS Reinsurance approach, and the strategy, combined with a positive market environment, has produced profits for 2023 and 2024.

To support its business goals, MS Reinsurance is committed to developing a dynamic and inspiring culture that engages existing employees and attracts new, top-tier talent. Significant progress was made and can be measured in two ways: (1) the quality of the workforce, and (2) feedback from an annual employee engagement survey. Both measures demonstrate positive progress on the most important elements of success: MS Reinsurance's corporate values (Collaborative, Empowering, Progressive, Responsible) and culture.

A crucial component of the Company's strategy remains the close relationship with its shareholder, MSIJ, which is fully committed to the strategy and allows flexible execution of the Company's plans. MSIJ strongly supports MS Reinsurance's corporate development journey.

# Risk Management

## Risk strategy

The Supervisory Board sets forth the responsibilities and principles pertaining to the Company's risk management (risk strategy, controlling, and management) in the Risk Management Policy. The Risk Management Policy outlines risk management governance and organization, key risk management principles and processes, Risk Appetite Framework, escalations processes, and risk categorization and the overarching ultimate risk tolerance, expressed in terms of solvency, rating, liquidity, and statutory capital. It further provides transparency and defines ownership and responsibilities throughout the risk management process. It promotes a risk aware culture across the organization.

MS Reinsurance aligns business strategy, capital management, and enterprise risk management with the objective to achieve long-term sustainable outcomes for the shareholder. This approach allows the business to optimize its return on risk, subject to the limitations over acceptable risk taking.

## Internal control framework

The Internal Control Framework forms an integral part of the Company's risk management framework and is designed to:

- promote an effective monitoring and control framework to facilitate the achievement of business objectives,
- protect Company resources against mismanagement or fraud,
- ensure that business activities are compliant with applicable laws and regulations; and
- develop consistent financial data and managerial data and present these in a timely manner.

The effectiveness of the Internal Control framework is assessed by the respective business functions on a quarterly basis as part of the Risk and Control Self-Assessment (RCSA) process, from a design and an operating perspective.

## Risk assessment

Risks highlighted in 2024 during the quarterly RCSA processes, and the ongoing Risk Management activities are presented in the Own Risk and Solvency Assessment (ORSA) report. Appropriate actions to manage those risks were identified and are being implemented.

## Solvency and liquidity

The solvency (level of available capital in excess of required capital for Regulatory and Rating Agency purposes) and the liquidity (availability of liquid assets) will dictate the total level of risk that can be assumed by MS Reinsurance. The Supervisory Board approved, as part of the Risk Management Policy and Capital Management Policy, a target solvency position and minimum liquidity ratio below which management actions are required.

The Company calculates the required capital needed to support potential unexpected losses in the coming year in accordance with the Swiss Solvency Test (SST) risk-based capital methodology in the Company's FINMA approved internal model.

The Company's SST 2025 capital ratio is 217% (SST 2024: 191%), which compares favorably with the minimum FINMA SST solvency requirement of 100%. It is also within the Company's defined SST capitalization range of 180 – 220%. No dividends will be paid for 2024.

## Risk appetite, tolerances, and limits

The Company's risk strategy starts with the Risk Tolerance, which denotes the target level for various solvency and liquidity measures. The next step is the Risk Appetite, which is implemented by means of Strategic Limits for the most risk-intensive areas of the business. The limits applicable to Insurance risk are based on various measures obtained from the MS Reinsurance Internal Model used for the Swiss Solvency Test. The limits applicable to Market and Credit risks mainly relate to the Strategic Asset Allocation and Investment Guidelines, but a Strategic market risk limit is also calibrated based on a Value at Risk of Market risk distribution. Both the Risk Tolerance and Risk Appetite are owned by the Supervisory Board.

The Executive Board is responsible for developing a business plan commensurate with the Risk Tolerance and the stated Risk Appetite. The business plan, including the recommended Strategic Limits, is presented to the Supervisory Board, who approves the plan and mandates the Executive Board for implementation.

The Executive Board has set up a framework to manage the various sources of risk, which comprises Policies, Standards and Guidelines as well as Operating limits, that gives sufficient flexibility to react to changes in the business environment, but that ensures that the Strategic limits are not breached and that the Risk Tolerance criteria are met. Policies are approved by the Supervisory Board. Standards, Guidelines and Operating limits are approved by the Executive Board.

## Processes and organization

Risk management processes for identifying, measuring, controlling, and reporting on risks are embedded in the day-to-day operations of all functions within MS Reinsurance. The Risk Management Policy sets out the specific roles and responsibilities across the three lines of defense for the risk management processes and assurance activities.

Quarterly risk reporting to the Risk Committee of the Supervisory Board supports the Supervisory Board in fulfilling its risk oversight responsibilities by providing it with a timely view on changes in the MS Reinsurance risk profile, risks near to or outside of appetite, outcomes of assurance activities, and any legal and regulatory compliance concerns.

KPMG

**MS Amlin AG, Zurich**

Report of the Statutory Auditor
to the General Meeting on the

Financial Statements 2024

KPMG AG
Zurich, 25 April 2025

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**Report of the Statutory Auditor to the General Meeting of MS Amlin AG, Zurich**

## Report on the Audit of the Financial Statements

### Opinion

We have audited the financial statements of MS Amlin AG (the Company), which comprise the income statement for the year ended 31 December 2024, the balance sheet as at 31 December 2024, and the cash flow statement for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements comply with Swiss law and the Company's articles of incorporation.

### Basis for Opinion

We conducted our audit in accordance with Swiss law and Swiss Standards on Auditing (SA-CH). Our responsibilities under those provisions and standards are further described in the "Auditor's Responsibilities for the Audit of the Financial Statements" section of our report. We are independent of the Company in accordance with the provisions of Swiss law, together with the requirements of the Swiss audit profession, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

### Other Information

The Board of Directors is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

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EXPERTsuisse Certified Company

**Board of Directors' Responsibilities for the Financial Statements**

The Board of Directors is responsible for the preparation of the financial statements in accordance with the provisions of Swiss law and the Company's articles of incorporation, and for such internal control as the Board of Directors determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Board of Directors is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern, and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

**Auditor's Responsibilities for the Audit of the Financial Statements**

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Swiss law and SA-CH will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with Swiss law and SA-CH, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made.
- Conclude on the appropriateness of the Board of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

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We communicate with the Board of Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

## Report on Other Legal and Regulatory Requirements

In accordance with Art. 728a para. 1 item 3 CO and PS-CH 890, we confirm that an internal control system exists, which has been designed for the preparation of financial statements according to the instructions of the Board of Directors.

Based on our audit in accordance with Art. 728a para. 1 item 2 CO, we confirm that the proposal of the Board of Directors complies with Swiss law and the Company's articles of incorporation. We recommend that the financial statements submitted to you be approved.

KPMG AG

Rainer Pfaffenzeller
Licensed Audit Expert
Auditor in Charge

Lukas Kündig
Licensed Audit Expert

Zurich, 25 April 2025

Enclosures:

- Financial statements (income statement, balance sheet, cash flow statement and notes)
- Proposed appropriation of available earnings

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# Financial statements of MS Reinsurance (MS Amlin AG) 2024

# Income statement

| USD | Note | 2024 | 2023 |
|---|---|---|---|
| Gross premium written | | 3,627,415,289 | 3,084,687,593 |
| Premiums ceded to reinsurers | | (222,879,030) | (216,411,414) |
| **Net premiums written** | | **3,404,536,259** | **2,868,276,179** |
| Change in unearned premium reserves - gross | | (516,614,086) | (345,051,216) |
| Change in reinsurers' share of unearned premium reserves | | (42,676,639) | (54,257,359) |
| **Net premiums earned** | | **2,845,245,534** | **2,468,967,604** |
| Other insurance income | | 2,559,651 | 2,352,799 |
| **Total technical income** | | **2,847,805,185** | **2,471,320,403** |
| Gross claims and claim expenses paid | | (1,468,899,468) | (1,110,373,446) |
| Reinsurers' share of claims and claim expenses | | 110,250,317 | 154,387,615 |
| Change in technical provisions - gross | 6 | (556,902,647) | (627,745,029) |
| Change in reinsurers' share of technical provisions | 6 | 86,871,056 | (31,089,858) |
| **Net claims and claim expenses incurred** | | **(1,828,680,742)** | **(1,614,820,719)** |
| Acquisition costs - gross | | (736,659,585) | (660,855,145) |
| Administrative expenses - gross | | (177,158,927) | (146,992,645) |
| Acquisition costs and administrative expenses - gross | | (913,818,512) | (807,847,790) |
| Reinsurers' share of acquisition costs | | 40,314,672 | 39,395,389 |
| **Net acquisition costs and administrative expenses** | | **(873,503,840)** | **(768,452,400)** |
| **Total technical expenses** | | **(2,702,184,582)** | **(2,383,273,119)** |
| Income from investments | 11 | 664,626,066 | 401,857,619 |
| Expenses from investments | 12 | (472,013,892) | (174,384,796) |
| **Net income from investments** | | **192,612,174** | **227,472,823** |
| Other financial expenses | | (4,190,803) | (3,674,612) |
| **Operating income** | | **334,041,974** | **311,845,495** |
| Other income | | 3,614,992 | 111,344 |
| Other expenses | | (2,336,681) | (1,175,142) |
| **Profit before direct taxes** | | **335,320,285** | **310,781,697** |
| Direct taxes | | (13,668,533) | (2,064,183) |
| **Profit** | | **321,651,752** | **308,717,514** |

# Balance sheet

| Assets | | | |
|---|---|---|---|
| **USD** | **Note** | **31/12/2024** | **31/12/2023** |
| **Investments** | | **5,234,543,199** | **4,519,589,651** |
| Participations | | 1,512,614 | 1,512,614 |
| Fixed-interest securities | | 660,684,973 | 641,328,802 |
| Shares | | 12,170,118 | 11,478,846 |
| Other investments | 2 | 4,560,175,494 | 3,865,269,390 |
| Receivables from derivative financial instruments | | 2,834,705 | 25,473,880 |
| Deposits on reinsurance business | | 85,735,915 | 108,339,469 |
| Cash and cash equivalents | | 441,924,579 | 461,248,120 |
| Reinsurers' share of technical provisions | 5 | 508,842,454 | 467,349,281 |
| Property and equipment | | 3,376,601 | 4,854,984 |
| Deferred acquisition costs | | 709,361,071 | 594,635,145 |
| Intangible assets | | 15,448,431 | 7,456,527 |
| Reinsurance receivables | 3/8 | 2,498,457,649 | 2,154,350,559 |
| Other receivables | 8 | 46,682,743 | 87,533,223 |
| Prepaid expenses and accrued income | | 22,718,472 | 16,008,123 |
| **Total assets** | | **9,569,925,819** | **8,446,838,962** |

| Liabilities and Equity | | | |
|---|---|---|---|
| **USD** | **Note** | **31/12/2024** | **31/12/2023** |
| Technical provisions | 5 | 7,034,362,715 | 6,124,301,007 |
| Non-technical provisions | | 68,333,719 | 72,182,242 |
| Liabilities from derivative financial instruments | | 20,035,559 | 12,518,194 |
| Reinsurance payables | 4/9 | 416,394,505 | 478,508,728 |
| Other liabilities | 9 | 9,525,814 | 59,707,036 |
| **Total liabilities** | | **7,548,652,312** | **6,747,217,207** |
| Share capital | | 10,333,001 | 10,333,001 |
| Legal capital reserves | | 1,516,426,106 | 1,516,426,106 |
| Reserves from capital contributions | 21 | 1,516,426,106 | 1,516,426,106 |
| Legal retained earnings | | 5,166,500 | 5,166,500 |
| Voluntary retained earnings | | 489,347,900 | 167,696,148 |
| Merger reserve | | 180,256,440 | 180,256,440 |
| Profit/(Loss) brought forward | | (12,560,292) | (321,277,806) |
| Profit | | 321,651,752 | 308,717,514 |
| **Total equity** | **7** | **2,021,273,507** | **1,699,621,755** |
| **Total liabilities and equity** | | **9,569,925,819** | **8,446,838,962** |

# Cashflow statement[1]

| USD | 2024 | 2023 |
|---|---|---|
| **Profit for the year** | **321,651,752** | **308,717,514** |
| Net (purchases) of property, plant and equipment | (6,513,520) | (872,955) |
| Net (purchases)/sales of investments (incl. realized gains/losses) | (714,953,548) | (724,006,713) |
| Net (purchases) of derivatives (incl. realized gains/losses) | 30,156,540 | (11,301,156) |
| Decrease/(increase) in deposits on reinsurance business | 22,603,554 | (13,445,437) |
| (Increase)/decrease in reinsurance contract assets | (41,493,173) | 82,679,339 |
| (Increase)/decrease in deferred acquisition cost | (114,725,926) | (101,589,974) |
| (Increase)/decrease in insurance receivables | (344,107,090) | (518,320,286) |
| (Increase)/decrease other receivables and other payables | (9,330,742) | (10,643,144) |
| Increase/(decrease) in outstanding claims | 451,698,703 | 666,640,998 |
| Increase/(decrease) in unearned premium | 458,363,004 | 354,496,966 |
| Increase/(decrease) in creditors arising from insurance operations | (62,114,223) | 60,128,247 |
| Increase/(decrease) in non-technical provision | (3,848,523) | 11,730,895 |
| (Increase)/decrease prepaid expenses and accrued income | (6,710,349) | (9,977,218) |
| **Cash flow from operating activities** | **(19,323,541)** | **94,237,074** |
| **Cash flow from investing activities** | - | – |
| **Cash flow from financing activities** | - | – |
| **Cash flow for the financial year** | **(19,323,541)** | **94,237,074** |
| Cash on 1 January | 461,248,120 | 367,011,045 |
| Cash on 31 December | 441,924,579 | 461,248,120 |
| **Change in cash** | **(19,323,541)** | **94,237,074** |

1 The cashflow statement is prepared using the indirect method.

# Notes to the financial statements

## 1. General

MS Amlin AG, trading under the name MS Reinsurance, is a wholly owned subsidiary of Mitsui Sumitomo Insurance Company, Limited (MSIJ).

### Basis of presentation

These financial statements were prepared in accordance with the principles of the Swiss Law on Accounting and Financial Reporting (32nd title of the Swiss Code of Obligations) and relevant insurance supervisory law, including FINMA Insurance Supervision Guidance (ISO-FINMA).

### Use of estimates in the preparation of annual accounts

The preparation of the annual accounts requires management to make significant estimates and assumptions that affect the reported amounts of assets, liabilities, income, and expenses as well as the related disclosures. Actual results could differ significantly from these estimates.

### Investments

**Participations** represent the Company's 100% holding of MS Amlin Reinsurance Managers, Inc. (MS ARMI), a company registered in Princeton South Corporate Ctr, Ste 160, 100 Charles Ewing Blvd, Ewing, NJ 08628, USA. The participation book value of USD 1.5 million represents the acquisition costs, which is subject to impairment review in case of any material decreases in the net asset value.

**Fixed-interest** securities consist of government bonds.

**Shares** represent the Company's investment in the preferred shares of Viribus Re Ltd and Envelop.

**Other investments** mainly consist of bond and equity funds within Toro Prism Trust, money market funds, and property funds.

### Foreign currency translation

At year-end, assets and liabilities denominated in foreign currencies are translated into US dollars at the exchange rate on the balance sheet date. Whereas revenues and expenses are translated at the average exchange rate for the period under report. Shareholders' equity is translated at historical rates. FX gains arising from the revaluation of the opening balance sheet as well as from the adjustments from application of year-end or average rates are deferred and booked under provision for currency fluctuation (Balance Sheet: "Non-technical provisions"). FX losses are directly recognized in the income statement.

Realized FX arising from foreign exchange transactions are recognized in the income statement.

The translation from functional currency (EUR) for the Zurich operations to presentational currency of USD gave rise to a FX translation gain of USD 10.2 million. The revaluation to the functional currencies led to a FX loss of USD 17.3 million. The combined unrealized FX loss of USD 7.1 million decreased the existing FX provision to USD 29.0 million (Balance Sheet: Liability account "Non-technical provisions").

The realized FX gain of USD 3.3 million for the financial year is recognized in the income statement.

Pursuant to Art. 958d, paragraph 3, CO, figures must also be presented in CHF and the year-end CHF/USD exchange rate of 0.9028 (2023: 0.8414) is applied for converting the USD numbers to CHF. Shareholders' equity is translated with historical CHF/USD exchange rate: 0.9678.

### Presentation of numbers

The numbers presented throughout this report may not add up precisely to the totals provided in the tables and text.

## Financial Statements Valuation Principles

### Investments

**Investments** (except for bonds) are carried at market value if an observable market price is available. If the market price is not available (category Participations in pooled investment funds – Property and Hedge Fund as in note 2), investments are accounted for at cost less necessary impairments. Subsequent recoveries of previously recorded impairments may be recognized up to the cost value.

**Bond investments** are valued at amortized cost less necessary impairments, if any.

**Derivative instruments** are valued at market value. Gains and losses are shown as part of income and expenses from investments.

**Participations** are carried at cost less necessary impairment, if any.

### Deposits on reinsurance business

Deposits are held at nominal value.

### Cash and cash equivalents

Cash and cash equivalents include cash at bank and short-term deposits. Such current assets are held at nominal value after deduction of known credit risks.

### Reinsurers' share of technical provisions

Reinsurers' share of technical provisions represents the retroceded part of the technical provisions. The same accounting principles apply as for the technical provisions.

### Property and equipment

Property and equipment are stated at historical cost less accumulated depreciation and provision for impairment where appropriate. This also includes right of use assets from the Company's lease contracts.

### Intangible assets

Intangible assets, consisting of capitalized development costs for software for internal use, are measured at cost less straight-line amortization over the estimated useful life of software, which is not exceeding 20 years.

## Reinsurance receivables

Reinsurance receivables are carried at nominal value, after deduction of known credit risks, if applicable. The establishment of bad debt reserves or write offs will be recorded on a cedent basis. The position mainly consists of receivables from insurance companies and brokers.

## Other receivables

Other receivables are recognized at the nominal value, subject to impairment, if necessary.

## Technical provisions

The technical provisions are based on the cedant information (case reserves) and the reserves for already incurred but not yet reported claims (IBNR). Additionally, the technical provisions include the written but not yet earned part of the premiums (unearned premium reserve).

## Reinsurance payables

Reinsurance balances payable are held at redemption value.

## Acquisition costs – gross and reinsurers' share

Acquisition costs comprise of brokerage and commission incurred on insurance contracts written during the financial year. They are charged on the same basis as the earned proportions of the premium they relate to. Deferred acquisition costs are amortized over the period in which the related revenues are earned. Deferred acquisition costs are reviewed at the end of each reporting period and are impaired where they are no longer considered to be recoverable.

## Direct taxes

Direct taxes relate to income and capital taxes.

## 2. Other investments

| USD | 31/12/2024 | 31/12/2023 |
|---|---|---|
| Participations in pooled investment funds - Property | 216,438,359 | 229,524,874 |
| Participations in pooled investment funds - Equity | 363,732,206 | 606,948,442 |
| Participations in pooled investment funds - Bonds | 1,936,720,141 | 1,444,304,627 |
| Participations in pooled investment funds - Money Market | 1,620,924,896 | 1,203,086,393 |
| Participations in pooled investment funds - Hedge Fund | 80,710,415 | 73,783,445 |
| Private equity of which participations (holding < 20%) | 34,500,140 | 10,850,027 |
| Short-term investments in pooled investment funds | 307,149,337 | 296,771,582 |
| **Total** | **4,560,175,494** | **3,865,269,390** |

* The unfunded commitment of Private equity of which participations (holding < 20%) amounts to USD 45.5 million (2023: USD 64.4 million).

## 3. Reinsurance receivables

| USD | 31/12/2024 | 31/12/2023 |
|---|---|---|
| Receivables from agents and brokers | 2,310,658,197 | 2,022,383,490 |
| Receivables from insurance companies | 187,799,452 | 131,967,069 |
| **Total** | **2,498,457,649** | **2,154,350,559** |

## 4. Reinsurance payables

| USD | 31/12/2024 | 31/12/2023 |
|---|---|---|
| Liabilities to agents and brokers | 355,633,462 | 396,463,103 |
| Liabilities to insurance companies | 60,761,043 | 82,045,625 |
| **Total** | **416,394,505** | **478,508,728** |

## 5. Technical provisions

| USD | Technical provisions (gross) | Reinsurers' share | 31/12/2024 Technical provisions (net) |
|---|---|---|---|
| Unearned premium reserve | 2,649,334,368 | 77,895,083 | 2,571,439,285 |
| Loss reserves* | 4,385,028,347 | 430,947,371 | 3,954,080,976 |
| **Total technical provisions** | **7,034,362,715** | **508,842,454** | **6,525,520,261** |

| USD | Technical provisions (gross) | Reinsurers' share | 31/12/2023 Technical provisions (net) |
|---|---|---|---|
| Unearned premium reserve | 2,190,971,363 | 121,120,030 | 2,069,851,333 |
| Loss reserves* | 3,933,329,644 | 346,229,251 | 3,587,100,393 |
| **Total technical provisions** | **6,124,301,007** | **467,349,281** | **5,656,951,727** |

* Unallocated loss adjustment expenses (ULAE) are part of the loss reserves.

## 6. Change in technical provisions

| USD | 2024 | 2023 |
|---|---|---|
| Change in technical provisions - Outstanding claims | 34,961,838 | 148,032,129 |
| Change in technical provisions - IBNR | 521,940,809 | 479,712,900 |
| **Change in technical provisions - gross** | **556,902,647** | **627,745,029** |
| Change in reinsurers' share of technical provisions - Outstanding claims | (5,543,617) | (10,556,060) |
| Change in reinsurers' share of technical provisions - IBNR | (81,327,439) | 41,645,918 |
| **Change in reinsurers' share of technical provisions** | **(86,871,056)** | **31,089,858** |

## 7. Statement of changes in equity

| USD | Share capital | Legal capital reserves | Legal retained earnings | Voluntary retained earnings | Total equity |
|---|---|---|---|---|---|
| **As of 31 Dec 2022** | **10,333,001** | **1,516,426,106** | **5,166,500** | **(141,021,366)** | **1,390,904,240** |
| Profit for the period | - | - | - | 308,717,514 | **308,717,514** |
| Dividend payments | - | - | - | - | - |
| **As of 31 Dec 2023** | **10,333,001** | **1,516,426,106** | **5,166,500** | **167,696,148** | **1,699,621,755** |
| Profit for the period | - | - | - | 321,651,752 | **321,651,752** |
| Dividend payments | - | - | - | - | - |
| **As of 31 Dec 2024** | **10,333,001** | **1,516,426,106** | **5,166,500** | **489,347,900** | **2,021,273,507** |

## 8. Receivables to third parties and affiliated companies

| USD | Third party | Affiliated companies | 31/12/2024 Total |
|---|---|---|---|
| Receivables from reinsurance business | 2,428,277,991 | 70,179,658 | 2,498,457,649 |
| Other receivables | 39,175,225 | 7,507,518 | 46,682,743 |
| **Total** | **2,467,453,216** | **77,687,177** | **2,545,140,393** |

| USD | Third party | Affiliated companies | 31/12/2023 Total |
|---|---|---|---|
| Receivables from reinsurance business | 2,079,467,412 | 74,883,147 | 2,154,350,559 |
| Other receivables | 83,571,093 | 3,962,130 | 87,533,223 |
| **Total** | **2,163,038,505** | **78,845,277** | **2,241,883,782** |

## 9. Payables to third parties and affiliated companies

| USD | Third party | Affiliated companies | 31/12/2024 Total |
|---|---|---|---|
| Payables from reinsurance business | 385,514,637 | 30,879,868 | 416,394,505 |
| Other liabilities | 4,017,291 | 5,508,523 | 9,525,814 |
| **Total** | **389,531,928** | **36,388,391** | **425,920,319** |

| USD | Third party | Affiliated companies | 31/12/2023 Total |
|---|---|---|---|
| Payables from reinsurance business | 409,913,130 | 68,595,598 | 478,508,728 |
| Other liabilities | 58,287,295 | 1,419,742 | 59,707,036 |
| **Total** | **468,200,424** | **70,015,340** | **538,215,764** |

## 10. Audit fees

| USD | 2024 | 2023 |
|---|---|---|
| Audit services | 1,169,188 | 839,061 |
| Other services | 5,387 | 123,948 |
| **Total** | **1,174,575** | **963,009** |

## 11. Income from investments

| USD | Income | Net unrealized gains | Net realized gains | 2024 Total |
|---|---|---|---|---|
| Fixed-interest securities | 26,454,827 | - | 11,082,133 | 37,536,960 |
| Shares | - | 1,005,230 | - | 1,005,230 |
| Other investments | 126,778,641 | 89,609,728 | 409,695,507 | 626,083,876 |
| **Total** | **153,233,468** | **90,614,958** | **420,777,640** | **664,626,066** |

| USD | Income | Net unrealized gains | Net realized gains | 2023 Total |
|---|---|---|---|---|
| Fixed-interest securities | 14,821,146 | 21,641,865 | 3,121,597 | 39,584,609 |
| Shares | - | 591,993 | - | 591,993 |
| Other investments | 57,093,317 | 225,650,168 | 78,937,532 | 361,681,017 |
| **Total** | **71,914,464** | **247,884,026** | **82,059,129** | **401,857,619** |

## 12. Expenses from investments

| USD | Expenses | Net unrealized losses | Net realized losses | 2024 Total |
|---|---|---|---|---|
| Fixed-interest securities | 10,301,890 | 3,781,207 | 3,127,985 | 17,211,082 |
| Shares | - | 191,926 | - | 191,926 |
| Other investments | 763,581 | 101,787,693 | 352,059,610 | 454,610,884 |
| **Total** | **11,065,471** | **105,760,826** | **355,187,595** | **472,013,892** |

| USD | Expenses | Net unrealized losses | Net realized losses | 2023 Total |
|---|---|---|---|---|
| Fixed-interest securities | 4,231,974 | - | 15,294,757 | 19,526,731 |
| Shares | - | 598,451 | - | 598,451 |
| Other investments | 4,617,208 | 30,202,814 | 119,439,591 | 154,259,614 |
| **Total** | **8,849,183** | **30,801,265** | **134,734,348** | **174,384,796** |

## 13. Personal expenses

Personnel expenses for 2024 amounted to USD 85.3 million (2023: USD 68.7 million) and are included in the line-item administrative expenses.

## 14. Contingent liabilities

The Company has no contingent liabilities as of 31 December 2024 (31 December 2023: nil). There were no capital commitments or authorized but uncontracted commitments at the end of the financial year.

## 15. Depreciation of real estate and equipment and amortization of intangible assets

| USD | 31/12/2024 | 31/12/2023 |
|---|---|---|
| Property and equipment | 2,710,992 | 2,429,693 |
| Intangible assets | 1,994,737 | 529,932 |
| **Total** | **4,705,729** | **2,959,625** |

## 16. Restricted assets

As of 31 December 2024, the Company holds restricted funds in the form of letter of credit (LOC) collaterals, initial margin calls on derivative financial instruments, and collateral received from reinsurance counterparties.

### Letter of credit (LOC) facilities

The Company has four LOC facilities of USD 650.0 million (2023: USD 650.0 million), USD 230.0 million (2023: USD 230.0 million), USD 60.0 million (2023: USD 60.0 million) and USD 1.3 million (2023:1.3 million). The USD 650.0 million facility is secured by a registered charge over a portfolio of assets managed by Fiera Capital with BNP Paribas as custodian. The USD 230.0 million facility is secured by time deposits held at Barclays Bank. The USD 60.0 million LOC is secured by time deposits held at National Australia Bank. The remaining USD 1.3 million is held at HSBC Bermuda. As of 31 December 2024, USD 781.6 million of LOC were issued (2023: USD 938.6 million).

### Revolving credit facility

The Company had access to an uncommitted revolving credit facility agreement with SMBC Bank of USD 150 million (2023: USD 150 million). This is cancelled as of 31 March 2024.

### Derivative margins and collateral

Derivative instruments traded by the Company for hedging purposes give rise to collateral being placed with, or received from, external counterparties. As of 31 December 2024, other receivables include USD 39.8 million (2023: USD 42.6 million) of margins and collateral pledged in relation to listed derivatives.

### Funds withheld as premium/claim deposits

As of 31 December 2024, the Company placed funds totaling to USD 23.3 million (2023: USD 30.9 million) as premium deposits and USD 62.4 million (2023: USD 77.4 million) as claim deposits. These funds are held by external brokers or cedents.

### Trust and Pledged Funds

As of 31 December 2024, cash and cash equivalents with a fair value of USD 449.0 million (2023: USD 539.3 million) were deposited in trust accounts by the Company for the benefit of the ceding companies. These funds are held in a trust by banks.

## 17. Residual amount of lease obligations

The maturity profile of lease obligations that do not expire in or cannot be cancelled within 12 months is presented below:

### Operating lease commitments

| USD | 31/12/2024 | 31/12/2023 |
|---|---|---|
| Later than 1 year and no later than 5 years | 2,476,718 | 3,560,794 |
| Later than 5 years | - | - |
| **Total operating lease commitments** | **2,476,718** | **3,560,794** |

The operating leases relate to the office rental in different locations, which are no later than five years, as of 31 December 2024.

## 18. Liabilities to pension schemes

There is no pension fund liability as of 31 December 2024 (2023: nil).

## 19. Full-time equivalents

The annual average number of full-time equivalents for the reporting year was 226 (2023: 199), which did not exceed 250.

## 20. Significant events after the balance sheet date

No significant events occurred after the balance sheet date.

## 21. Shareholders' equity (reserves from capital contributions)

As of 31 December 2024, USD 1,516.4 million are shown as "reserves from capital contributions" (31 December 2023: USD 1,516.4 million). The total reserves from capital contributions include USD 144.7 million (2023: USD 144.7 million) of "capital reserves" as agreed with FINMA during the application process.

## Proposal for the appropriation of distributable earnings

| USD | 2024 | 2023 |
|---|---|---|
| Profit/(loss) carried forward | 167,696,148 | (141,021,366) |
| Profit | 321,651,752 | 308,717,514 |
| **Profit carried forward** | **489,347,900** | **167,696,148** |
| **Proposal of the Board of Directors:** | | |
| Profit carried forward | 489,347,900 | 167,696,148 |
| Dividend payments | - | - |
| **Amount carried forward** | **489,347,900** | **167,696,148** |

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# Income statement

| CHF | Note | 2024 | 2023 |
|---|---|---|---|
| Gross premium written | | 3,274,727,172 | 2,595,446,019 |
| Premiums ceded to reinsurers | | (201,208,838) | (182,087,854) |
| **Net premiums written** | | **3,073,518,334** | **2,413,358,165** |
| Change in unearned premium reserves - gross | | (466,384,478) | (290,324,961) |
| Change in reinsurers' share of unearned premium reserves | | (38,527,254) | (45,651,964) |
| **Net premiums earned** | | **2,568,606,602** | **2,077,381,240** |
| Other insurance income | | 2,310,780 | 1,979,637 |
| **Total technical income** | | **2,570,917,382** | **2,079,360,878** |
| Gross claims and claim expenses paid | | (1,326,080,589) | (934,264,574) |
| Reinsurers' share of claims and claim expenses | | 99,530,845 | 129,901,233 |
| Change in technical provisions - gross | 6 | (502,755,843) | (528,182,608) |
| Change in reinsurers' share of technical provisions | 6 | 78,424,714 | (26,158,905) |
| **Net claims and claim expenses incurred** | | **(1,650,880,873)** | **(1,358,704,854)** |
| Acquisition costs - gross | | (665,035,285) | (556,041,350) |
| Administrative expenses - gross | | (159,934,032) | (123,679,129) |
| Acquisition costs and administrative expenses - gross | | (824,969,317) | (679,720,479) |
| Reinsurers' share of acquisition costs | | 36,394,938 | 33,147,151 |
| **Net acquisition costs and administrative expenses** | | **(788,574,379)** | **(646,573,328)** |
| **Total technical expenses** | | **(2,439,455,252)** | **(2,005,278,182)** |
| Income from investments | 11 | 600,005,476 | 338,121,682 |
| Expenses from investments | 12 | (426,120,693) | (146,726,795) |
| **Net income from investments** | | **173,884,783** | **191,394,887** |
| Other financial expenses | | (3,783,338) | (3,091,806) |
| **Operating income** | | **301,563,575** | **262,385,776** |
| Other income | | 3,263,512 | 93,685 |
| Other expenses | | (2,109,489) | (988,761) |
| **Profit before direct taxes** | | **302,717,598** | **261,490,700** |
| Direct taxes | | (12,339,562) | (1,736,797) |
| **Profit** | | **290,378,036** | **259,753,903** |

# Balance sheet

| Assets | | | |
|---|---|---|---|
| **CHF** | **Note** | **31/12/2024** | **31/12/2023** |
| **Investments** | | **4,725,596,461** | **3,802,767,902** |
| Participations | | 1,365,545 | 1,272,708 |
| Fixed-interest securities | | 596,447,570 | 539,611,949 |
| Shares | | 10,986,836 | 9,658,263 |
| Other investments | 2 | 4,116,796,510 | 3,252,224,981 |
| Receivables from derivative financial instruments | | 2,559,091 | 21,433,639 |
| Deposits on reinsurance business | | 77,399,941 | 91,156,474 |
| Cash and cash equivalents | | 398,956,919 | 388,092,654 |
| Reinsurers' share of technical provisions | 5 | 459,368,470 | 393,226,151 |
| Property and equipment | | 3,048,299 | 4,084,968 |
| Deferred acquisition costs | | 640,390,964 | 500,324,060 |
| Intangible assets | | 13,946,403 | 6,273,897 |
| Reinsurance receivables | 3/8 | 2,255,536,382 | 1,812,663,491 |
| Other receivables | 8 | 42,143,850 | 73,650,167 |
| Prepaid expenses and accrued income | | 20,509,589 | 13,469,182 |
| **Total assets** | | **8,639,456,369** | **7,107,142,585** |

| Liabilities and Equity | | | |
|---|---|---|---|
| **CHF** | **Note** | **31/12/2024** | **31/12/2023** |
| Technical provisions | 5 | 6,350,422,240 | 5,152,966,771 |
| Non-technical provisions | | 61,689,735 | 60,733,902 |
| Liabilities from derivative financial instruments | | 18,087,532 | 10,532,768 |
| Reinsurance payables | 4/9 | 375,909,096 | 402,615,674 |
| Other liabilities | 9 | 8,599,634 | 50,237,304 |
| **Total liabilities** | | **6,814,708,237** | **5,677,086,418** |
| Share capital | | 10,000,001 | 10,000,001 |
| Legal capital reserves | | 1,467,556,476 | 1,467,556,476 |
| Reserves from capital contributions | 21 | 1,467,556,476 | 1,467,556,476 |
| Legal retained earnings | | 5,000,000 | 5,000,000 |
| Voluntary retained earnings | | 437,273,677 | 146,895,641 |
| Merger reserve | | 174,447,343 | 174,447,343 |
| Profit/(Loss) brought forward | | (27,551,702) | (287,305,605) |
| Profit | | 290,378,036 | 259,753,903 |
| Conversion difference | | (95,082,022) | (199,395,950) |
| **Total Equity** | **7** | **1,824,748,132** | **1,430,056,167** |
| **Total Liabilities and Equity** | | **8,639,456,369** | **7,107,142,585** |

# Cashflow statement[2]

| CHF | 2024 | 2023 |
|---|---|---|
| **Profit for the year** | **290,378,036** | **259,753,903** |
| Net (purchases) of property, plant and equipment | (5,880,220) | (734,501) |
| Net (purchases)/sales of investments (incl. realized gains/losses) | (645,439,693) | (609,176,872) |
| Net (purchases) of derivatives (incl. realized gains/losses) | 27,224,465 | (9,508,756) |
| Decrease/(increase) in deposits on reinsurance business | 20,405,845 | (11,312,947) |
| (Increase)/decrease in reinsurance contract assets | (37,458,854) | 69,566,125 |
| (Increase)/decrease in deferred acquisition cost | (103,571,297) | (85,477,470) |
| (Increase)/decrease in insurance receivables | (310,650,077) | (436,112,988) |
| (Increase)/decrease other receivables and other payables | (8,423,528) | (8,955,108) |
| Increase/(decrease) in outstanding claims | 407,780,720 | 560,909,548 |
| Increase/(decrease) in unearned premium | 413,797,061 | 298,272,584 |
| Increase/(decrease) in creditors arising from insurance operations | (56,074,951) | 50,591,709 |
| Increase/(decrease) in non-technical provision | (3,474,337) | 9,870,336 |
| **(Increase)/decrease prepaid expenses and accrued income** | **(6,057,912)** | **(8,394,799)** |
| **Cash flow from operating activities** | **(17,444,742)** | **79,290,764** |
| **Cash flow from investing activities** | **–** | **–** |
| **Cash flow from financing activities** | **–** | **–** |
| **Cash flow for the financial year** | **(17,444,742)** | **79,290,764** |
| Cash on 1 January | 388,092,654 | 339,301,712 |
| Exchange rate difference on cash and cash equivalents | 28,309,007 | (30,499,822) |
| Cash on 31 December | 398,956,919 | 388,092,654 |
| **Change in cash** | **(17,444,742)** | **79,290,764** |

[2] The cashflow statement is prepared using the indirect method.

# Notes to the financial statements

## 1. General

MS Amlin AG, trading under the name MS Reinsurance, is a wholly owned subsidiary of Mitsui Sumitomo Insurance Company, Limited (MSIJ).

### Basis of presentation

These financial statements were prepared in accordance with the principles of the Swiss Law on Accounting and Financial Reporting (32nd title of the Swiss Code of Obligations) and relevant insurance supervisory law, including FINMA Insurance Supervision Guidance (ISO-FINMA).

### Use of estimates in the preparation of annual accounts

The preparation of the annual accounts requires management to make significant estimates and assumptions that affect the reported amounts of assets, liabilities, income, and expenses as well as the related disclosures. Actual results could differ significantly from these estimates.

### Investments

**Participations** represent the Company's 100% holding of MS Amlin Reinsurance Managers, Inc. (MS ARMI), a company registered in Princeton South Corporate Ctr, Ste 160, 100 Charles Ewing Blvd, Ewing, NJ 08628, USA. The participation book value of USD 1.5 million (CHF 1.4 million) represents the acquisition costs, which is subject to impairment review in case of any material decreases in the net asset value.

**Fixed-interest** securities consist of government bonds.

**Shares** represent the Company's investment in the preferred shares of Viribus Re Ltd and Envelop.

**Other investments** mainly consist of bond and equity funds within Toro Prism Trust, money market funds, and property funds.

### Foreign currency translation

At year-end, assets and liabilities denominated in foreign currencies are translated into US dollars at the exchange rate on the balance sheet date. Whereas revenues and expenses are translated at the average exchange rate for the period under report. Shareholders' equity is translated at historical rates. FX gains arising from the revaluation of the opening balance sheet as well as from the adjustments from application of year-end or average rates are deferred and booked under provision for currency fluctuation (Balance Sheet: "Non-technical provisions"). FX losses are directly recognized in the income statement.

Realized FX arising from foreign exchange transactions are recognized in the income statement.

The translation from functional currency (EUR) for the Zurich operations to presentational currency of USD gave rise to a FX translation gain of USD 10.2 million (CHF 9.2 million). The revaluation to the functional currencies led to a FX loss of USD 17.3 million (CHF 15.6 million). The combined unrealized FX loss of USD 7.1 million (CHF 6.4 million) decreased the existing FX provision to USD 29.0 million (CHF 26.2 million) (Balance Sheet: Liability account "Non-technical provisions").

The realized FX gain of USD 3.3 million (CHF 3.0 million) for the financial year is recognized in the income statement.

Pursuant to Art. 958d, paragraph 3, CO, figures must also be presented in CHF and the year-end CHF/USD exchange rate of 0.9028 (2023: 0.8414) is applied for converting the USD numbers to CHF. Shareholders' equity is translated with historical CHF/USD exchange rate: 0.9678.

### Presentation of numbers

The numbers presented throughout this report may not add up precisely to the totals provided in the tables and text.

## Financial Statements Valuation Principles

### Investments

**Investments** (except for bonds) are carried at market value if an observable market price is available. If the market price is not available (category Participations in pooled investment funds – Property and Hedge Fund as in note 2), investments are accounted for at cost less necessary impairments. Subsequent recoveries of previously recorded impairments may be recognized up to the cost value.

**Bond investments** are valued at amortized cost less necessary impairments, if any.

**Derivative instruments** are valued at market value. Gains and losses are shown as part of income and expenses from investments.

**Participations** are carried at cost less necessary impairment, if any.

### Deposits on reinsurance business

Deposits are held at nominal value.

### Cash and cash equivalents

Cash and cash equivalents include cash at bank and short-term deposits. Such current assets are held at nominal value after deduction of known credit risks.

### Reinsurers' share of technical provisions

Reinsurers' share of technical provisions represents the retroceded part of the technical provisions. The same accounting principles apply as for the technical provisions.

### Property and equipment

Property and equipment are stated at historical cost less accumulated depreciation and provision for impairment where appropriate. This also includes right of use assets from the Company's lease contracts.

### Intangible assets

Intangible assets, consisting of capitalized development costs for software for internal use, are measured at cost less straight-line amortization over the estimated useful life of software, which is not exceeding 20 years.

## Reinsurance receivables

Reinsurance receivables are carried at nominal value, after deduction of known credit risks, if applicable. The establishment of bad debt reserves or write offs will be recorded on a cedent basis. The position mainly consists of receivables from insurance companies and brokers.

## Other receivables

Other receivables are recognized at the nominal value, subject to impairment, if necessary.

## Technical provisions

The technical provisions are based on the cedant information (case reserves) and the reserves for already incurred but not yet reported claims (IBNR). Additionally, the technical provisions include the written but not yet earned part of the premiums (unearned premium reserve).

## Reinsurance payables

Reinsurance balances payable are held at redemption value.

## Acquisition costs – gross and reinsurers' share

Acquisition costs comprise of brokerage and commission incurred on insurance contracts written during the financial year. They are charged on the same basis as the earned proportions of the premium they relate to. Deferred acquisition costs are amortized over the period in which the related revenues are earned. Deferred acquisition costs are reviewed at the end of each reporting period and are impaired where they are no longer considered to be recoverable.

## Direct taxes

Direct taxes relate to income and capital taxes.

## 2. Other investments

| CHF | 31/12/2024 | 31/12/2023 |
|---|---|---|
| Participations in pooled investment funds - Property | 195,394,384 | 193,121,476 |
| Participations in pooled investment funds - Equity | 328,367,072 | 510,686,392 |
| Participations in pooled investment funds - Bonds | 1,748,415,762 | 1,215,233,174 |
| Participations in pooled investment funds - Money Market | 1,463,324,814 | 1,012,272,943 |
| Participations in pooled investment funds - Hedge Fund | 72,863,063 | 62,081,149 |
| Private equity of which participations (holding < 20%) | 31,145,744 | 9,129,212 |
| Short-term investments in pooled investment funds | 277,285,671 | 249,702,635 |
| **Total** | **4,116,796,510** | **3,252,224,981** |

* The unfunded commitment of Private equity of which participations (holding < 20%) amounts to CHF 41.1 million (2023: CHF 54.2 million).

## 3. Reinsurance receivables

| CHF | 31/12/2024 | 31/12/2023 |
|---|---|---|
| Receivables from agents and brokers | 2,085,996,386 | 1,701,626,832 |
| Receivables from insurance companies | 169,539,996 | 111,036,659 |
| **Total** | **2,255,536,382** | **1,812,663,491** |

## 4. Reinsurance payables

| CHF | 31/12/2024 | 31/12/2023 |
|---|---|---|
| Liabilities to agents and brokers | 321,055,758 | 333,582,755 |
| Liabilities to insurance companies | 54,853,338 | 69,032,919 |
| **Total** | **375,909,096** | **402,615,674** |

## 5. Technical provisions

| CHF | Technical provisions (gross) | Reinsurers' share | 31/12/2024 Technical provisions (net) |
|---|---|---|---|
| Unearned premium reserve | 2,391,743,584 | 70,321,462 | 2,321,422,122 |
| Loss reserves* | 3,958,678,656 | 389,047,008 | 3,569,631,648 |
| **Total technical provisions** | **6,350,422,240** | **459,368,470** | **5,891,053,770** |

| CHF | Technical provisions (gross) | Reinsurers' share | 31/12/2023 Technical provisions (net) |
|---|---|---|---|
| Unearned premium reserve | 1,843,476,115 | 101,909,996 | 1,741,566,119 |
| Loss reserves* | 3,309,490,656 | 291,316,155 | 3,018,174,501 |
| **Total technical provisions** | **5,152,966,771** | **393,226,151** | **4,759,740,620** |

* Unallocated loss adjustment expenses (ULAE) are part of the loss reserves.

## 6. Change in technical provisions

| CHF | 2024 | 2023 |
|---|---|---|
| Change in technical provisions - Outstanding claims | 31,562,551 | 124,553,748 |
| Change in technical provisions - IBNR | 471,193,292 | 403,628,860 |
| **Change in technical provisions - Gross** | **502,755,843** | **528,182,608** |
| Change in reinsurers' share of technical provisions - Outstanding claims | (5,004,620) | (8,881,834) |
| Change in reinsurers' share of technical provisions - IBNR | (73,420,094) | 35,040,739 |
| **Change in reinsurers' share of technical provisions** | **(78,424,714)** | **26,158,905** |

## 7. Statement of changes in equity

| CHF | Share capital | Legal capital reserves | Legal retained earnings | Voluntary retained earnings | Conversion difference | Total equity |
|---|---|---|---|---|---|---|
| **As of 31 Dec** | **10,000,001** | **1,467,556,476** | **5,000,000** | **(112,858,263)** | **(83,807,244)** | **1,285,890,971** |
| Conversion | – | – | – | – | (115,588,706) | (115,588,706) |
| Loss for the | – | – | – | 259,753,903 | – | 259,753,903 |
| Dividend | – | – | – | – | – | – |
| **As of 31 Dec** | **10,000,001** | **1,467,556,476** | **5,000,000** | **146,895,641** | **(199,395,950)** | **1,430,056,167** |
| Conversion | – | – | – | – | 104,313,928 | 104,313,928 |
| Profit for the | – | – | – | 290,378,036 | – | 290,378,036 |
| Dividend | – | – | – | – | – | – |
| **As of 31 Dec** | **10,000,001** | **1,467,556,476** | **5,000,000** | **437,273,677** | **(95,082,022)** | **1,824,748,132** |

* Pursuant to Art. 958d, paragraph 3, CO, figures must also be presented in CHF and the year-end CHF/USD exchange rate of 0.9028 was applied for converting the USD numbers to CHF. Equity nominals, except for the free reserves, are revalued with historical rates leading to a conversion difference.

## 8. Receivables from third parties and affiliated companies

| CHF | Third party | Affiliated companies | 31/12/2024 Total |
|---|---|---|---|
| Receivables from reinsurance business | 2,192,180,185 | 63,356,197 | 2,255,536,382 |
| Other receivables | 35,366,277 | 6,777,573 | 42,143,850 |
| **Total** | **2,227,546,462** | **70,133,770** | **2,297,680,232** |

| CHF | Third party | Affiliated companies | 31/12/2023 Total |
|---|---|---|---|
| Receivables from reinsurance business | 1,749,657,057 | 63,006,434 | 1,812,663,491 |
| Other receivables | 70,316,443 | 3,333,724 | 73,650,167 |
| **Total** | **1,819,973,500** | **66,340,157** | **1,886,313,658** |

## 9. Payables to third parties and affiliated companies

| CHF | Third party | Affiliated companies | 31/12/2024 Total |
|---|---|---|---|
| Payables from reinsurance business | 348,031,630 | 27,877,466 | 375,909,096 |
| Other liabilities | 3,626,696 | 4,972,938 | 8,599,634 |
| **Total** | **351,658,326** | **32,850,404** | **384,508,730** |

| CHF | Third party | Affiliated companies | 31/12/2023 Total |
|---|---|---|---|
| Payables from reinsurance business | 344,899,563 | 57,716,111 | 402,615,674 |
| Other liabilities | 49,042,738 | 1,194,566 | 50,237,304 |
| **Total** | **393,942,301** | **58,910,677** | **452,852,978** |

## 10. Audit fees

| CHF | 2024 | 2023 |
|---|---|---|
| Audit services | 1,055,510 | 705,983 |
| Other services | 4,863 | 104,290 |
| **Total** | **1,060,373** | **810,273** |

## 11. Income from investments

| CHF | Income | Net unrealized gains | Net realized gains | 2024 Total |
|---|---|---|---|---|
| Fixed-interest securities | 23,882,664 | – | 10,004,634 | 33,887,298 |
| Shares | – | 907,493 | – | 907,493 |
| Other investments | 114,452,145 | 80,897,109 | 369,861,431 | 565,210,685 |
| **Total** | **138,334,809** | **81,804,602** | **379,866,065** | **600,005,476** |

| CHF | Income | Net unrealized gains | Net realized gains | 2023 Total |
|---|---|---|---|---|
| Fixed-interest securities | 12,470,464 | 18,209,395 | 2,626,502 | 33,306,360 |
| Shares | – | 498,101 | – | 498,101 |
| Other investments | 48,038,130 | 189,861,311 | 66,417,781 | 304,317,221 |
| **Total** | **60,508,594** | **208,568,806** | **69,044,282** | **338,121,682** |

## 12. Expenses from investments

| CHF | Expenses | Net unrealized losses | Net realized losses | 2024 Total |
|---|---|---|---|---|
| Fixed-interest securities | 9,300,253 | 3,413,566 | 2,823,855 | 15,537,674 |
| Shares | – | 173,265 | – | 173,265 |
| Other investments | 689,339 | 91,891,029 | 317,829,386 | 410,409,754 |
| **Total** | **9,989,592** | **95,477,860** | **320,653,241** | **426,120,693** |

| CHF | Expenses | Net unrealized losses | Net realized losses | 2023 Total |
|---|---|---|---|---|
| Fixed-interest securities | 3,560,769 | – | 12,868,958 | 16,429,728 |
| Shares | – | 503,535 | – | 503,535 |
| Other investments | 3,884,904 | 25,412,549 | 100,496,080 | 129,793,533 |
| **Total** | **7,445,673** | **25,916,084** | **113,365,039** | **146,726,795** |

## 13. Personal expenses

Personnel expenses for 2024 amounted to CHF 77.0 million (2023: CHF 57.8 million) and are included in the line-item administrative expenses.

## 14. Contingent liabilities

The Company has no contingent liabilities as of 31 December 2024 (31 December 2023: nil). There were no capital commitments or authorized but uncontracted commitments at the end of the financial year.

## 15. Depreciation of real estate and equipment and amortization of intangible assets

| CHF | 31/12/2024 | 31/12/2023 |
|---|---|---|
| Property and equipment | 2,447,406 | 2,044,336 |
| Intangible assets | 1,800,792 | 445,883 |
| **Total** | **4,248,198** | **2,490,219** |

## 16. Restricted assets

As of 31 December 2024, the Company holds restricted funds in the form of letter of credit (LOC) collaterals, initial margin calls on derivative financial instruments, and collateral received from reinsurance counterparties.

### Letter of credit (LOC) facilities

The Company has four LOC facilities of CHF 586.8 million (2023: CHF 549.9 million), CHF 207.6 million (2023: CHF 193.5 million), CHF 54.2 million (2023: CHF 50.5 million) and CHF 1.2 million (2023: CHF 1.1 million). The USD 650.0 million facility is secured by a registered charge over a portfolio of assets managed by Fiera Capital with BNP Paribas as custodian. The USD 230.0 million facility is secured by time deposits held at Barclays Bank. The USD 60.0 million LOC is secured by time deposits held at National Australia Bank. The remaining USD 1.3 million is held at HSBC Bermuda. As of 31 December 2024, CHF 705.6 million of LOC were issued (2023: CHF: 689.7 million).

### Revolving credit facility

The Company had access to an uncommitted revolving credit facility agreement with SMBC Bank of CHF 135.4 million (2023: CHF 126.2 million). This is cancelled as of 31 March 2024.

### Derivative margins and collateral

Derivative instruments traded by the Company for hedging purposes give rise to collateral being placed with, or received from, external counterparties. As of 31 December 2024, other receivables include CHF 35.9 million (2023: CHF 35.8 million) of margins and collateral pledged in relation to listed derivatives.

### Funds withheld as premium/claim deposits

As of 31 December 2024, the Company placed funds totalling to CHF 21.0 million (2023: CHF 26.0 million) as premium deposits and CHF 56.3 million (2023: CHF 65.1 million) as claim deposits. These funds are held by external brokers or cedents.

### Trust and Pledged Funds

As of 31 December 2024, cash and cash equivalents with a fair value of CHF 405.0 million (2023: CHF 453.7 million) were deposited in trust accounts by the Company for the benefit of the ceding companies. These funds are held in a trust by banks.

## 17. Residual amount of lease obligations

The maturity profile of lease obligations that do not expire in or cannot be canceled within 12 months is presented below:

### Operating lease commitments

| CHF | 31/12/2024 | 31/12/2023 |
|---|---|---|
| Later than 1 year and no later than 5 years | 2,235,910 | 2,996,794 |
| Later than 5 years | - | - |
| **Total operating lease commitments** | **2,235,910** | **2,996,794** |

The operating leases relate to the office rental in the different locations, which are no later than five years, as of 31 December 2024.

## 18. Liabilities to pension schemes

There is no pension fund liability as of 31 December 2024 (2023: nil).

## 19. Full-time equivalents

The annual average number of full-time equivalents for the reporting year was 226 (2023:199) which did not exceed 250.

## 20. Significant events after the balance sheet date

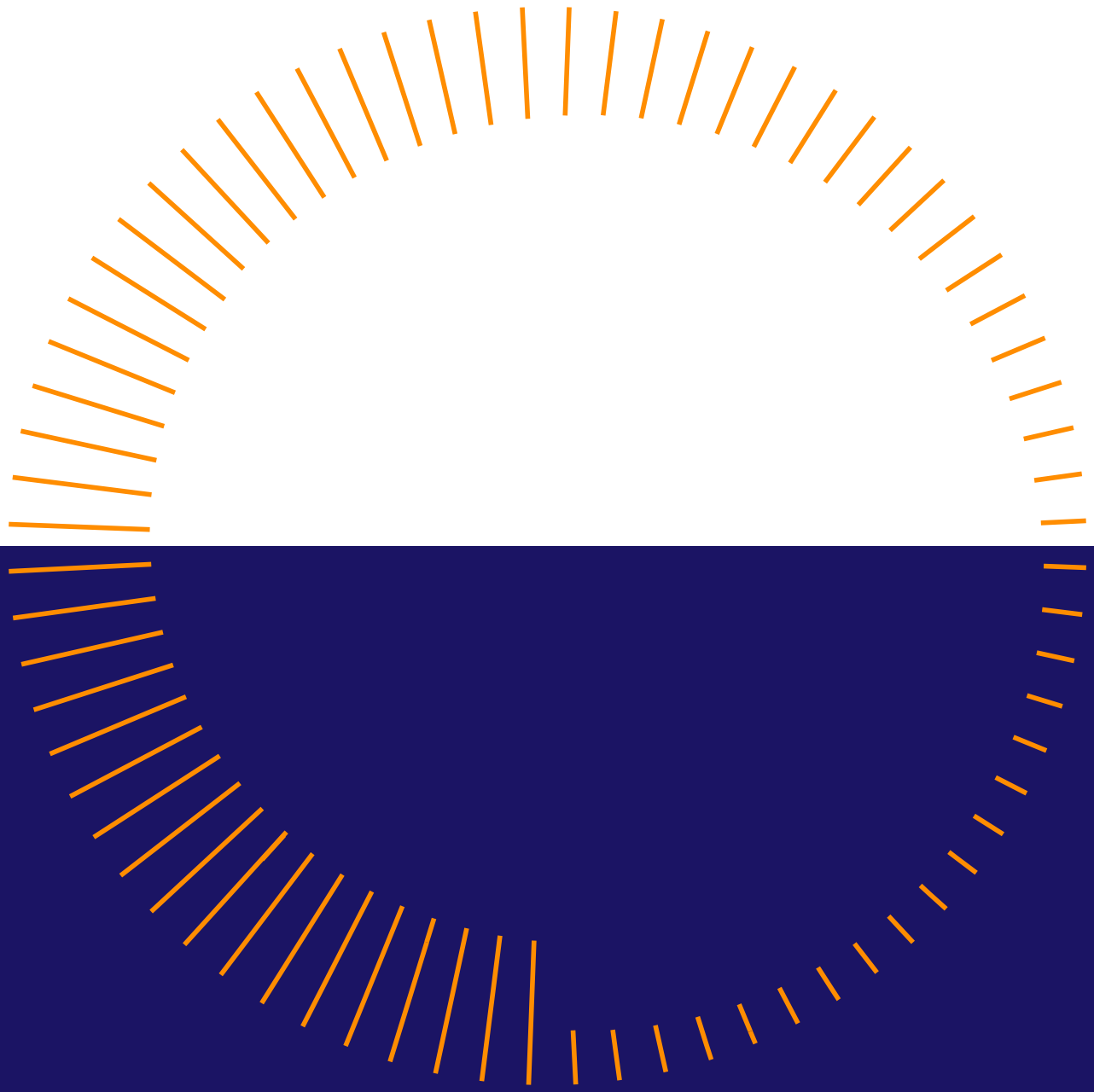
No significant events occurred after the balance sheet date.

## 21. Shareholders' equity (reserves from capital contributions)

As of 31 December 2024, CHF 1,467.6 million are shown as "reserves from capital contributions" (31 December 2023: CHF 1,467.6 million). The total reserves from capital contributions include CHF 140.0 million (2023: CHF 140.0 million) of "capital reserves" as agreed with FINMA during the application process.

## Proposal for the appropriation of distributable earnings

| CHF | 2024 | 2023 |
|---|---|---|
| Profit/(loss) carried forward | 146,895,641 | (112,858,263) |
| Profit | 290,378,036 | 259,753,903 |
| **Profit carried forward** | **437,273,677** | **146,895,641** |
| **Proposal of the Board of Directors:** | | |
| Profit carried forward | **437,273,677** | **146,895,641** |
| Dividend payments | – | – |
| **Amount carried forward** | **437,273,677** | **146,895,641** |



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